

Calendar Line 7**Case Name:** *Ramachandra v. Narasegowda et al.***Case No.:** 25CV375239**DEFENDANT'S MOTION TO STAY PROCEEDINGS AND MOTION FOR DECLARATORY RELIEF**

Defendant Surakshith Mysore Narasegowda moves to stay this partition action pending resolution of Plaintiff's appeal from the judgment of the Family Court at Mysuru, India, and also seeks declaratory relief concerning the effect of the Indian proceedings on the parties' rights in the California property.

Motion to Stay

A California court has inherent authority to stay proceedings in the interests of justice and judicial economy. Where an action involving the same parties and subject matter is pending in another jurisdiction, a stay is not a matter of right but rests within the trial court's discretion. The Court considers, among other things, the importance of avoiding multiple litigation and conflicts between jurisdictions and whether the rights of the parties can best be determined in the other proceeding. (*Farmland Irrigation Co. v. Dopplmaier* (1957) 48 Cal.2d 208, 215.)

The Indian Family Court dissolved the parties' marriage but expressly declined to adjudicate their rights in the California property. The judgment stated that Plaintiff would have to pursue separate proceedings concerning her claimed investment in the property after valuation and adjudication of the parties' rights and liabilities.

This action, by contrast, seeks partition of real property located in California. Under Code of Civil Procedure section 872.710, the Court is to determine at trial whether a plaintiff has the right to partition, and partition of concurrent interests is generally a matter of right absent a valid waiver.

The pending Indian appeal concerns Plaintiff's challenge to the denial of monetary/alimony relief. Defendant has not shown that the appeal will determine title to, partition of, or the parties' ownership interests in the California property. Although the Indian proceeding and this action may involve some overlapping factual matters concerning the property and the parties' financial contributions, that limited overlap does not establish that the Indian appeal will resolve the issues presented in this partition action.

Defendant's concern regarding potential double recovery is likewise insufficient to warrant a stay on the present record. The possibility that a future Indian ruling could create an issue concerning monetary relief, credits, or offsets is speculative. The Court can adjudicate the parties' respective interests in the California property and address the issues properly presented in this action. A stay would delay resolution of Plaintiff's claimed interest in California real property without a demonstrated likelihood that the Indian appeal will resolve or materially advance the issues before this Court.

Accordingly, the Motion to Stay Proceedings is DENIED.

Request for Declaratory Relief

Defendant also seeks declarations concerning whether the Indian divorce decree can alter the characterization of the California property and whether this Court has jurisdiction to adjudicate the property while the Indian appeal is pending.

Code of Civil Procedure section 1060 authorizes a person claiming rights or duties with respect to property to bring an original action or cross-complaint for declaratory relief. Defendant has not established a basis for obtaining the requested affirmative declarations by noticed motion.

The requested declarations are unnecessary to resolution of this action. The Court may determine the parties' respective interests in the California property and their right to partition within this proceeding. The pendency of the Indian appeal does not, on the present record, provide a basis for staying that determination.

Accordingly, the Request for Declaratory Relief is DENIED.

DISPOSITION

Defendant's Motion to Stay Proceedings is DENIED.

Defendant's Request for Declaratory Relief is DENIED.

The action shall proceed.

Plaintiff to prepare the proposed final order, accompanied by the necessary Form EFS-020 within 7 days of the hearing.

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Calendar Line 8

Case Name: *GuideOne Insurance Company v. Quickbooks Online Payroll, Inc. et al.*

Case No.: 26CV487361

DEFENDANT’S MOTION TO COMPEL ARBITRATION**BACKGROUND**

Plaintiff GuideOne Insurance Company (“Plaintiff”) brings this subrogation action against Defendant QuickBooks Online Payroll, Inc. (“Defendant” or “QuickBooks”), asserting claims for fraud and indebtedness. Plaintiff alleges that on November 5, 2024, it had in effect an insurance policy with Reality Church Ventura (“Insured”) providing fidelity and forgery coverage. According to the Complaint, Defendant, as the Insured’s payment processor, made a deposit error causing financial loss to the Insured. Plaintiff paid its Insured \$11,560.00 under the policy and now seeks to recover that amount in subrogation.

Defendant moves to compel arbitration and argues that the Insured agreed to arbitrate all disputes arising from its use of Defendant’s services and that Plaintiff, as subrogee, is bound by that agreement. The motion is unopposed.

LEGAL STANDARD

The Federal Arbitration Act (“FAA”) governs the arbitration agreement. The arbitration agreement in effect in November 2017 states: “The Federal Arbitration Act governs the interpretation and enforcement of this provision; the arbitrator shall apply California law to all other matter.” The current arbitration agreement contains materially identical language: “You agree that the U.S. Federal Arbitration Act governs the interpretation and enforcement of this arbitration provision, and that you and Intuit are each waiving the right to a trial by jury or to participate in a class action.” The agreement therefore expressly provides that the FAA governs interpretation and enforcement of the arbitration provision.

Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Under California law, a party seeking to compel arbitration bears the burden of establishing the existence of a valid arbitration agreement. (Code Civ. Proc., § 1281.2; *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165-166.) Once the moving party establishes the existence of the agreement, the burden shifts to the opposing party to establish a defense to enforcement.